

## BUILDING THE BASICS

It was not very long before the superficiality of the whole procedure caused me to feel that there must be a better way to do this. I was extremely fortunate in having an immediate boss who completely understood why I was concerned and granted me the time to make an experiment which I proposed to him. At that time, in the fall of 1928, there was a great deal of speculative interest in radio stocks. I introduced myself as a representative of the investment arm of the bank to the buyers of the radio department of several retail establishments in San Francisco. I asked them their opinions of the three major competitors in this industry. I was given surprisingly similar opinions from each of them. In particular, I learned a great deal from one man who was him-self an engineer and who had worked for one of these companies. One company, Philco, which from my standpoint unfortunately was privately owned so that it represented no stock market opportunity, had developed models which had especial market appeal. As a result, they were getting market share at a beautiful profit to themselves because they were highly efficient manufacturers. RCA was just about holding its own market share, whereas another company, which was a stock market favorite of the day, was slipping drastically and showing signs of getting into trouble. None of this was the direct business of the bank, for it was not handling radio stocks. Nevertheless, an evaluative report seemed likely to help me considerably within the bank because many key bank officers who would see it were personally involved in speculation in these issues. Nowhere in material from Wall Street firms who were talk-ing about these “hot” radio issues could I find a single word about the troubles that were obviously developing for this speculative favorite.

In the ensuing twelve months, as the stock market continued on its reckless but merry way with most stocks climbing to new highs, I noticed with increasing interest how the stock I had singled out for trouble was sagging further and further in that rising market. It was my first lesson in what later was to become part of my basic investment philosophy: reading the printed financial records about a company is never enough to justify an investment. One of the major steps in pru-dent investment must be to find out about a company's affairs from those who have some direct familiarity with them.